8. Income Taxes

The components of income before provision for income taxes are as follows (in thousands):

	Year Ended December 28, 2024 (52 weeks)	Year Ended December 30, 2023 (52 weeks)	Year Ended December 31, 2022 (52 weeks)
Income before provision for income taxes:			
U.S.	$ 51,549	$ 41,238	$ 45,387
Foreign	14,693	11,050	13,413
Total	$ 66,242	$ 52,288	$ 58,800

The provision (benefit) for income taxes consists of the following (in thousands):

	Year Ended December 28, 2024 (52 weeks)	Year Ended December 30, 2023 (52 weeks)	Year Ended December 31, 2022 (52 weeks)
Currently payable:			
Federal	$ 12,747	$ 11,544	$ 8,805
Foreign	3,959	2,796	2,956
State	5,748	4,101	3,231
Total current expense	22,454	18,441	14,992
Deferred:			
Federal	(2,295)	(2,963)	(21)
Foreign	146	(1,041)	114
State	(716)	(630)	96
Total deferred expense (benefit)	(2,865)	(4,634)	189
Total tax expense	$ 19,589	$ 13,807	$ 15,181

A reconciliation of CRA's tax rates with the federal statutory rate is as follows:

	Fiscal Year 2024	Fiscal Year 2023	Fiscal Year 2022
Federal statutory rate	21.0 %	21.0 %	21.0 %
State income taxes, net of federal income tax benefit	6.0	5.0	5.2
Foreign Rate Differential	1.2	0.6	(0.4)
Share-based compensation	(0.8)	(1.1)	(2.4)
Meals & Entertainment Expense	0.8	0.9	0.3
Executive Compensation	1.5	1.7	1.6
Valuation Allowance	—	(1.5)	0.7
Other	(0.1)	(0.2)	(0.2)
Annual effective tax rate	29.6 %	26.4 %	25.8 %

The components of CRA's deferred tax assets and liabilities are as follows (in thousands):

	December 28, 2024	December 30, 2023
Deferred tax assets:		
Accrued compensation and related expense	$ 20,679	$ 18,211
Allowance for doubtful accounts	2,324	2,100
Net operating loss carryforwards	693	883
Lease liabilities	26,627	27,791
Foreign exchange and other	540	19
Total gross deferred tax assets	50,863	49,004
Less: valuation allowance	(2)	(6)
Total deferred tax assets, net of valuation allowance	50,861	48,998
Deferred tax liabilities:		
Goodwill and other intangible asset amortization	6,109	5,599
Right-of-Use assets	21,311	22,472
Property and equipment	6,912	6,761
Prepaids and other	1,068	1,343
Total deferred tax liabilities	35,400	36,175
Net deferred tax assets	$ 15,461	$ 12,823

At December 28, 2024, CRA had U.S. local and foreign net operating loss carryforwards of $2.0 million, a decrease of $0.6 million from the prior fiscal year-end, with lives ranging from 20 years to indefinite. The change in the total valuation allowance for the current fiscal year was immaterial.

The aggregate changes in the balances of gross unrecognized tax benefits were as follows (in thousands):

	Fiscal Year 2024	Fiscal Year 2023
Balance at beginning of period	$ —	$ 35
Additions for tax positions taken during prior years	276	
Additions for tax positions taken during the current year	459	—
Reductions as a result of a lapse of the applicable statutes of limitations	—	(35)
Balance at end of the period	$ 735	$ —

CRA files income tax returns in the U.S. federal jurisdiction and various state and foreign jurisdictions. CRA adjusts its unrecognized tax benefits and the associated interest in light of changing facts and circumstances. A number of years may elapse before an uncertain tax position is audited and finally resolved. While it is often difficult to predict the final outcome or the timing of resolution of any particular uncertain tax position, CRA believes that its unrecognized tax benefits reflect the most likely outcome. At the end of fiscal 2024, accrued interest for uncertain tax positions was immaterial. CRA's total unrecognized tax benefit at the end of fiscal 2024 is $0.7 million. Settlement of any particular position could require the use of cash. Of the total $0.7 million balance at the end of fiscal 2024, a favorable resolution would result in $0.2 million being recognized as a reduction to the effective income tax rate in the period of resolution. There are no unrecognized tax benefits expected to reverse in the next twelve months.

The number of years with open tax audits varies depending on the tax jurisdiction. CRA's major taxing jurisdiction is the United States where CRA is no longer subject to U.S. federal examinations by the Internal Revenue Service for years before fiscal 2021. Within the significant states where CRA is subject to income tax, CRA is no longer subject to examinations by state taxing authorities before fiscal 2020. CRA's United Kingdom ("U.K.") subsidiary's corporate tax returns are no longer subject to examination by His Majesty's Revenue and Customs for years before fiscal 2023.

If amounts are repatriated from certain of our foreign subsidiaries, CRA could be subject to deferred taxes that are a consequence of foreign exchange translation from earnings that are no longer considered permanently reinvested. CRA considers all other undistributed earnings to be indefinitely reinvested. Foreign withholding taxes, estimated to be $0.5 million, have not been recorded for these foreign subsidiaries.